

before resuming the uptrend. The decline might be 10% to 20% but seldom represents a significant percentage change. For swing traders, pipes can be profitable if you are careful, lucky, and aggressive.

Stop location. Spend some time visiting [Table 50.7](#) to get the probabilities of price reaching a stop placed at various locations in the pipe. Tell 'em Tom sent you.

Tips. A knot is what I call a congestion region of at least 3 price bars long (weeks in this case). Price moves horizontally with lots of price overlap. Knots appear in strong trends where price pauses before resuming the trend.

You want to look for those knots, especially the one closest to the bottom of the pipe on the weekly scale. That knot is your short-term price target.

If the knot is near the bottom of the pipe, then *don't* trade it. The pipe will likely bust (see price break out downward, hit the knot, and reverse to close above the pattern and continue higher). It's a risky trade because it won't give you much room to profit before the stock reverses.

Not just knots will turn price upward, either. Prior peaks or valleys work, too. Look for those as you scan your chart where a pipe top occurs.

- Review knots in [Chapter 1](#) for additional tips on how to use them for trading.

[Table 50.11](#) shows one feature of pipes that's worth mentioning. I computed the difference between the top of the two spikes and found the median, which was 1%. When the difference between the two peaks was more than the median, performance improved. In other words, you'll see a farther decline.

As you search for pipes, look for two peaks that do not share the same price. Indeed, you might wish to look for patterns with a large price difference.

Sample Trade

Johnny is a civil servant working in a state office, and he handles the paperwork for companies just beginning life. Most are sole proprietorships